

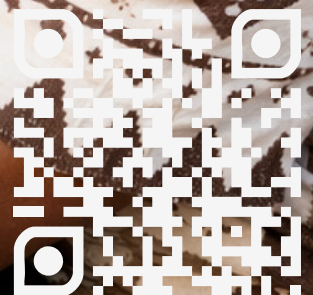
FUNERAL ASSURANCE SECTOR REPORT

FOR THE YEAR ENDED 31 DECEMBER 2024



Email: enquiry@ipec.co.zw

Protecting the Interests of Insurance and Pension Consumers



Disclaimer

- i. This report, including any enclosures and attachments, has been prepared by the Insurance and Pensions Commission (IPEC), solely for informative purposes for the insurance sector stakeholders.
- ii. The report may not be reproduced, redistributed, communicated to a third party, or relied upon by any other person for any other purpose without the Commission's prior written consent. The Commission does not accept any liability if this report is used for any purpose other than the above-mentioned intended purpose.
- iii. This report relates to the Funeral Assurance business written by Funeral Assurers only and does not relate to the Funeral Assurance business written by Life Assurers. The Funeral Assurance business generated by Life Assurers is reported in the Life Assurance Report.
- iv. Growth referred to in this report is nominal growth, unless stated otherwise.
- v. These statistics are based on the International Financial Reporting Standard (IFRS) 17 - Insurance Contracts, which became effective January 2023.
- vi. Please Note: All Monetary Figures are in ZWG except where stated.
- vii. Income statement figures were adjusted using year-on-year inflation of 36.3% reported for December 2024. Source:
<https://www.rbz.co.zw/index.php/research/markets/inflation>
- viii. The minimum capital requirement figures were converted from ZW\$ to ZWG using the spot rate of the 5th of April 2024 being ZWG1: ZW\$2,498.72.
- ix. The Reserve Bank of Zimbabwe exchange rate as at 31 December 2024 was used to convert ZWG to USD, which was USD1: ZWG 25.7985.

Introduction

This report is being issued belatedly due to technical challenges faced by the Funeral Assurance sector in transitioning to the International Financial Reporting Standard (IFRS) 17, which became effective on 1 January 2023. The implementation of IFRS 17 required significant system and process adjustments across the Funeral Assurance sector, resulting in delays in compiling and submitting compliant returns for all quarters of 2024. Despite these challenges, the Insurance and Pensions Commission (IPEC) remains committed to providing stakeholders with accurate and comprehensive insights into the performance of the Funeral Assurance sector for the whole quarters of year 2024. This report reflects the latest available data and regulatory developments, ensuring transparency and alignment with international best practices.

Table of Contents

SECTION A: EXECUTIVE SUMMARY	6
1 Executive Summary	7
SECTION B: ABOUT THE COMMISSION	13
2 Introduction	14
Terms of Reference	14
SECTION C: ECONOMIC OVERVIEW	15
3 Economic Overview	16
3.1 Economic Overview	16
3.2 Domestic Macro-Prudential Analysis:.....	16
3.3 Inflation Developments:.....	16
3.4 Exchange Rate Developments:.....	17
3.5 Stock Market Development (ZSE)	18
SECTION D: PERFORMANCE OF FUNERAL ASSURANCE COMPANIES	19
4 Performance in Terms of Business Written	20
5 Earnings	21
6 Liquidity	22
7 Capitalisation	22
8 Asset Quality	25
9 Reassurance	27
10 Number of policies.....	28
11 Market Share	28
SECTION E: REGULATORY DEVELOPMENTS	30
12 Regulatory Developments for the period ended 31 December 2024	31
12.1 Statutory Instruments and Circulars.....	31
SECTION F: COMPLAINTS HANDLING AND CONCLUSION.....	33
13 Funeral Assurance Sector Complaints	34
14 Conclusion	34
SECTION G: APPENDICES	35

Abbreviations

IPEC	Insurance and Pensions Commission
IFRS 17	International Financial Reporting Standard (IFRS) 17
MCR	Minimum Capital Requirement
PA	Prescribed Assets/Securities as defined by the Insurance Act [Chapter 24:07]
S.I.	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP	Zimbabwe Integrating Capital and Risk Programme
PAA	Premium Allocation Approach

Definition of Terms

Absolute ZWG	Business written solely in local currency.
Consolidated ZWG	Total business written, combining the absolute local currency business and foreign currency denominated business.



Section A

EXECUTIVE SUMMARY

1 Executive Summary

- 1.1 For the year ended 31 December 2024, there were nine (9) registered Funeral Assurance companies in Zimbabwe. Kings and Queens Funeral Assurance was registered during the year, bringing the total number of funeral assurers to nine.
- 1.2 Kuwadzana Funeral Assurance surrendered its registration license in November 2024.
- 1.3 Of the nine registered entities, only seven were operational. Six of the operational assurers submitted their fourth-quarter regulatory returns, with Orchid Funeral Assurance being the only outstanding one.
- 1.4 This report is presented as a single consolidated report, incorporating the quarterly statistics for the period under review.
- 1.5 For consistency and comparability, the analysis is based on cumulative fourth-quarter figures, which provide a comprehensive view of sector performance for the full year. Where necessary, amounts have been converted to USD using the prevailing interbank exchange rate to facilitate comparison across reporting periods.
- 1.6 Insurance revenue per quarter is as follows:
 - 1.6.1 The sector reported ZWG10.48 million, which was equivalent to US\$776,530 at the prevailing exchange rate ZWL2498 to ZWG1 as at 5 April 2024 for the First quarter of 2024 ended 31 March 2024.
 - 1.6.2 For the Second quarter ended 30 June 2024, the sector recorded ZWG42.2 million, which was equivalent to US\$3.08 million.
 - 1.6.3 For the third quarter of the same year, the sector recorded ZWG102.19 million, which was equivalent to US\$4.19 million.
 - 1.6.4 For the fourth quarter, the sector reported a consolidated nominal Insurance Revenue of ZWG 210 million, which was equivalent to US\$8.13 million at the prevailing official exchange rate.

- 1.6.5 Foreign currency-denominated business totalled US\$3.7 million and ZAR796,000, with Moonlight Funeral Assurance being the only assurer writing business in ZAR as at the end of the year.
- 1.7 In terms of Compliance with the Minimum Capital Requirements of ZWG 25,020:
- 1.7.1 As at the end of the first quarter of 2024, five (5) of the six (6) companies were compliant with this minimum regulatory threshold, with only Vineyard Funeral Assurance failing to meet this threshold. However, upon subjecting these figures to the US\$500,000 proposed USD-indexed Minimum Capital Requirements, four (4) were compliant while Sunset and Vineyard failed to meet the proposed threshold.
- 1.7.2 For the second quarter ended 30 June 2024, five (5) of the six (6) companies were compliant with this minimum regulatory threshold, with only Vineyard Funeral Assurance failing to meet this threshold. Again, Sunset and Vineyard failed to meet the proposed USD-indexed threshold.
- 1.7.3 For the third quarter ended 30 September 2024, all the six (6) companies were compliant with the Minimum Capital Requirements. However, only Sunset failed to meet the USD-indexed threshold.
- 1.7.4 As at 31 December 2024, all six (6) Funeral Assurers that submitted returns were compliant with the Minimum Capital Requirement (MCR) of ZWG 25,012.81, as prescribed in Statutory Instrument 59 of 2020. However, only four (4) entities were compliant with the then-proposed US\$ Indexed MCR of US\$500,000.
- 1.8 Total assets and liabilities statistics were as follows:

- 1.8.1 For the first quarter of 2024, total assets were ZWG229 million, translating to USD17.03 million, whilst the liabilities were negative ZWG 11.06 million (US\$8.19 million). Negative liabilities were influenced by actuarial surplus, where the sector players expected to receive more from the policyholders than they expected to receive. This phenomenon is common in the funeral industry where premium collections may exceed the actual cost of service delivery.
- 1.8.2 For the second quarter ending 30 June 2024, total sector assets were ZWG 245.5 million, translating to US\$17.92 million, whilst there were also negative liabilities amounting to ZWG11.08 million (US\$7.95 million).
- 1.8.3 For the third quarter ending 30 September 2024, total assets for the sector amounted to ZWG283.16 million (US\$11.6 million) whilst negative liabilities were ZWG72.39 million (US\$2.97 million).
- 1.8.4 For the fourth quarter ending 31 December 2024, total assets for the sector amounted to ZWG784 million (US\$30.4 million), while total liabilities stood at ZWG189 million (US\$7.3 million). The sector started to experience a shift in their cashflows, now expected to pay more to the policyholders than they expected to collect.
- 1.8.5 Compliance with Prescribed Asset requirements remained critically low, with all six reporting assurers recording 0% against the statutory minimum of 10% throughout all four quarters of the year.

1.9 Market share

- 1.9.1 Moonlight Funeral Assurance remained the dominant market player, recording 49% of the total insurance revenue by the sector in the first quarter, 64% in the second quarter, 72% in third quarter, and 54% of consolidated fourth quarter Insurance Revenue, followed by First Funeral Assurance with 29% revenue share.
- 1.9.2 In terms of market share by total assets, Moonlight dominated the sector again and recorded 57% of the industry assets as the first quarter of 2024, 56% for the second quarter, 48% for the third quarter and 75% for the fourth quarter 2024.
- 1.9.3 Overall 2024 year performance indicators are presented below:

Table 1: Summary of Key Financial Indicators

	Sunset	Foundation Mutual	First Funeral	Vineyard	Moonlight	Ruvimbo	Total/Average
Earnings							
Insurance Revenue (ZWG 000)	1,863.97	8,405.55	61,663.76	22,306.89	113,882.73	1,661.24	209,784.15
Insurance Service Result (ZWG 000)	1,261.18	7,201.65	(31,950.22)	(5,214.18)	46,679.68	(102.37)	17,875.74
Profit After Tax (ZWG 000)	(207.44)	11,559.37	(18,984.54)	1,969.97	(116,790.98)	6,683.93	(115,769.68)
Expense Ratio	0.19	0.07	0.34	0.10	0.05	0.91	0.15
Loss Ratio	0.13	0.07	1.18	1.13	0.54	0.15	0.77
Combined Ratio	0.32	0.14	1.52	1.23	0.59	1.06	0.91
Underwriting Margin	0.68	0.86	(0.52)	(0.23)	0.41	(0.06)	0.09
Net Investment Income (ZWG 000)	416.04	14,316.25	6,669.01	7,184.15	(57,180.36)	5,257.34	(23,337.56)
Return on Equity	(0.02)	0.27	(1.30)	0.27	(0.23)	0.26	(0.19)
Return on Assets	(0.02)	0.20	(0.33)	0.06	(0.20)	0.22	(0.15)
Liquidity							
Working Capital (ZWG 000)	(970.47)	(1,643.03)	(40,108.75)	10,974.15	(30,629.72)	(2,106.71)	(64,484.52)
Current ratio	0.07	0.56	0.07	2.14	0.59	0.61	0.53
Market Shares							
Market Share Based on Insurance Revenue	0.89%	4.01%	29.39%	10.63%	54.29%	0.79%	100.00%
Market Share Based on Total Assets	1.21%	7.20%	7.38%	4.32%	75.94%	3.95%	100.00%
Capital Adequacy							
Capital Position (ZWG 000)	8,420.42	42,094.89	14,584.70	7,276.49	497,410.62	25,471.15	595,258.27
Capital Maintenance Ratio (CMR)	0.13	0.67	0.23	0.12	7.96	0.41	1.36

Shareholder Equity/Total Assets Ratio	0.89	0.75	0.25	0.21	0.84	0.82	0.76
Asset Quality							
Total Assets (ZWG 000)	9,461.56	56,438.21	57,846.36	33,881.45	595,202.01	30,930.05	783,759.64
Investments to Assets	0.92	0.15	0.81	0.03	0.03	0.33	0.12
Fixed Assets/Total Assets	0.08	0.82	0.17	0.37	0.87	0.56	0.77
Prescribed Assets Ratio	-	0.00	-	-	-	-	0.00
Actuarial							
Insurance Contracts Issued Assets (ZWG 000)	-	367.97	1,321.12	6,801.95	13,366.79	3,029.73	24,887.56
Reinsurance Contract Held Assets (ZWG 000)	-	-	-	-	-	-	-
Insurance Contracts Issued Liabilities (ZWG 000)	416.45	-	41,684.69	13,741.53	(162,785.38)	-	(106,942.71)
Reinsurance Contracts Held Liabilities (ZWG 000)	-	-	-	-	-	-	-



Section B

ABOUT THE COMMISSION

2 Introduction

- 2.1 The Insurance and Pensions Commission (IPEC) is a Statutory Body, mandated with regulating, supervising, and developing the Insurance and Pensions Industry for the protection of policyholders and pension scheme members in Zimbabwe.
- 2.2 This report outlines the Funeral Assurance sector developments and IPEC's various activities in the sector, consistent with its statutory mandate during the year ended 31 December 2024.

Terms of Reference

The activities of the Commission are guided by the following Acts and their Regulations:

- 2.3 Insurance and Pensions Commission Act [*Chapter 24:21*];
- 2.4 Pension and Provident Funds Act [*Chapter 24:32*];
- 2.5 Insurance Act [*Chapter 24:07*];
- 2.6 Money Laundering and Proceeds of Crime Act [*Chapter 09:24*];
- 2.7 Finance Act [*Chapter 23:04*];
- 2.8 Public Entities and Corporate Governance Act [*Chapter 10:31*];
- 2.9 Public Finance Management Act [*Chapter 22:19*]; and
- 2.10 Public Procurement and Disposal of Public Assets Act [*Chapter 22:23*]

Section C | ECONOMIC
OVERVIEW

3 Economic Overview

3.1 Economic Overview Q4 2024

3.1.1 The year 2024 was a period of relative stabilization for the Zimbabwean economy, particularly regarding inflation and exchange rates. Tight monetary policy, while creating some liquidity challenges, appears to have been effective in achieving its primary goals. The Reserve Bank took steps to address liquidity issues and continued to focus on deepening the Willing Buyer Willing Seller (WBWS) market and accumulating reserves. The foundation laid in 2024 is expected to support economic growth in 2025.

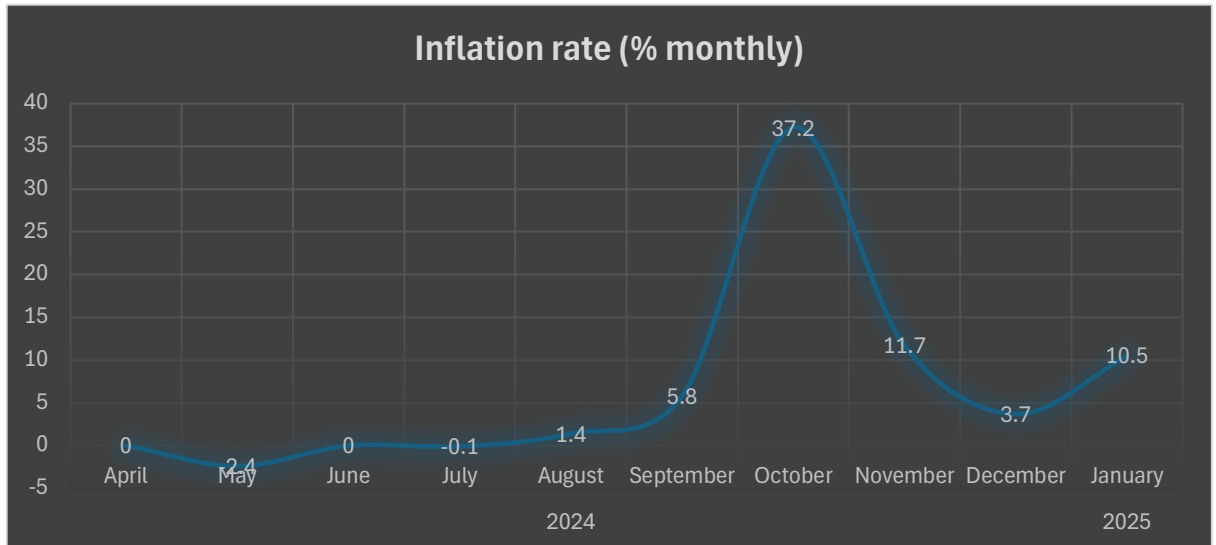
3.2 Domestic Macro-Prudential Analysis:

3.2.1 Q4 2024 saw the economy experiencing inflation and exchange rate stability. This stability is attributed to the tight monetary policy stance maintained by the Reserve Bank of Zimbabwe during the quarter, including upward reviews of the Bank Policy Rate and statutory reserve requirements. Greater exchange rate flexibility in the interbank market, anchored by tight monetary conditions, also contributed. Strategic foreign exchange interventions by the Reserve Bank helped clear the market and ensure smooth foreign exchange flow. However, this tight monetary policy led to some temporary liquidity challenges, which the Reserve Bank addressed through an intra-day facility for banks and planned disbursements under the Targeted Finance Facility (TFF).

3.3 Inflation Developments:

3.3.1 Monthly ZWG inflation moderated in Q4 2024 due to tight monetary conditions. The data in Figure 2-1 showed a downward trend in inflation:

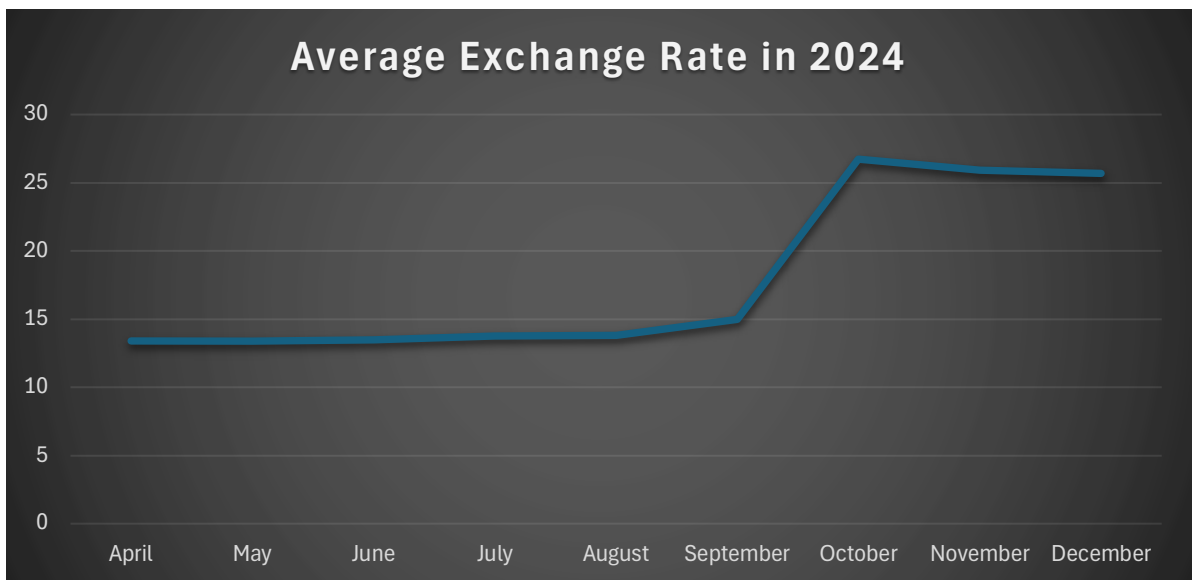
Figure 2-1: Monthly Inflation Developments April 2024 – January 2025



3.4 Exchange Rate Developments:

3.4.1 The exchange rate stabilized in Q4 2024 following monetary policy measures implemented in late September. This stability is reflected in the narrowing of exchange rate premiums. The Reserve Bank deepened the Willing-Buyer Willing-Seller (WBWS) for the foreign exchange interbank market to enhance price discovery and market efficiency. Figure 2-2 below shows the data:

Figure 2-2 Average Exchange Rates from April to December 2024



3.5 Stock Market Development (ZSE)

(a) Zimbabwe Stock Exchange (ZSE)

3.5.1 The introduction of the ZWG currency in 2024 significantly influenced the Zimbabwe Stock Exchange (ZSE) performance between April and December 2024, resulting in these key trends:

- **Market Capitalization:** The market capitalization of the ZSE increased steadily from 28.6 billion in April to 66.24 billion in December 2024,
- **Turnover:** The turnover on the ZSE also showed significant growth, from ZWG16.6 million in April to ZWG 225.4 million in December 2024,
- **All-Share Index:** The All-Share Index, a key indicator of overall market performance, experienced a period of growth followed by a decline. The data indicated significant volatility in the ZSE All Share Index during the period between April and December 2024.

(b) Victoria Falls Stock Exchange Market (VFEX):

3.5.2 Information on specific VFEX performance in Q4 2024 is provided below as follows:

- **Market Capitalization:** The market capitalization of the VFEX increased from 1.207 billion in December 2023 to 1.279 billion in December 2024,
- **Turnover:** The turnover on the VFEX also showed significant growth, from US\$4.821 million in December 2023 to US\$19.704 million in December 2024.



Section D

PERFORMANCE OF FUNERAL ASSURANCE COMPANIES

4 Performance in Terms of Business Written

4.1 The Funeral Assurance sector recorded consolidated Insurance Revenue of ZWG210 million for the year ended 31 December 2024, which was equivalent to US\$8.1 million. This represents a 194.8% increase from US\$2.8 million reported in the same period in 2023.

4.2 This is broken down from quarter to quarter as follows:

Table 2: Insurance Revenue by Quarter

	Insurance Revenue			
Currency	Q1	Q2	Q3	Q4
ZWG (000)	10,483.00	42,201.00	102,187.00	209,784.00
USD Equivalence (000)	776.52	3,079.67	4,187.99	8,131.64

4.3 The revenue collected from first quarter to the fourth quarter of 2024 by the sector shows a strong, consistent, and accelerating upward trajectory across all four quarters following the introduction of the more stable currency.

4.4 In terms of foreign currency denominated business, the sector recorded Insurance Revenue amounting to US\$3.7 million and ZAR796,000, which was a 48% and 91.8% increase, respectively, compared to what was recorded in the same period in 2023.

4.5 A detailed breakdown of the consolidated Insurance Revenue per funeral assurer is shown in Table 1 below.

Table 3: Consolidated Insurance Revenue Per Company (US\$000)

Name of Company	December - 24 (ZWG)	December 23 (ZWL)	December- 23 (US\$)	December - 24 (US\$)	US\$ Change
Sunset	1,863.97	502,762.34	82.36	72.25	-12%
Foundation Mutual	8,405.55	1,459,219.36	239.03	325.8	36%
First Funeral	61,663.76	6,315,592.83	1,034.54	2,390.07	131%
Vineyard	22,306.89	2,153,849.53	352.82	864.61	145%
Moonlight	113,882.73	6,407,372.10	1,049.58	4,414.06	321%
Ruvimbo	1,661.24	1,382.01	0.23	64.39	28342%
Total	209,784.14	16,840,178.17	2,758.55	8,131.17	195%

5 Earnings

5.1 For the period under review, Funeral Assurers reported a combined Insurance service result of ZWG3.35 million in the first quarter of 2024, ZWG6.87 million in the second quarter, ZWG9.25 million in the third quarter and ZWG17.9 million in the last quarter, which indicates an underwriting profit made by the funeral assurance sector during the whole period under review.

5.2 The Funeral Assurance sector average combined ratios from for all the quarters were as follows:

Table 4: Combined Ratios by Quarter

Quarters	Q1	Q2	Q3	Q4
Combined ratios	68%	84%	90.94%	91.48%

5.3 The 91.48% combined ratio figure recorded for the period ending 31 December 2024 is an improvement from 116.14% in the comparable period of 31st December 2023. This reflects the industry's recovery and its return to a profitable position, largely attributable to sustained exchange rate stability.

5.4 Despite recording underwriting profits throughout the year, the sector recorded overall losses as the profits after tax for the period under review were skewed towards negative. For the first quarter, the sector recorded a negative ZWG27.8 million, a positive ZWG18.3 million for the second quarter, a negative ZWG77.51 million for the third quarter, and a negative ZWG115.78 million for the last quarter of 2024.

5.5 Profit after tax was largely driven down by elevated operating expenses which were more than the overall income for the year.

5.6 Although the industry collected ZWG 210 million in insurance revenue for the year 2024, insurance contract expenses of ZWG192 million and administrative expenses of ZWG186 million exceeded these collections.

5.7 The industry was therefore recommended to establish robust management information systems to regularly track expense ratios,

combined ratios, and insurance service results, and take corrective action promptly where adverse trends were identified.

- 5.8 The funeral industry recorded an average insurance service expense ratio of 14.76%, indicating that 14.76 cents per premium dollar was allocated towards insurance service expenses separately from claims incurred, an improvement from 33.85% in the 2023 period.
- 5.9 It is important for all sector players to continuously monitor their expenses so that they are sustainable.
- 5.10 The industry's average return on assets (ROA) and return on equity (ROE) were -19.45% in 2024 as compared to -16.35% reported in the same period in 2023 and -14.77% compared to -21.96% reported in 2023, respectively, for the period under review as shown in Table 4 above.
- 5.10.1 These figures are of concern; therefore, Commission encourages the industry to implement cost management strategies and explore profitable insurance business strategies.

6 Liquidity

- 6.1 As at 31 December 2024, liquid assets amounted to ZWG73.3 million (US\$2.8 million), accounting for 9.4% of the total assets. Liquid financial instruments are important to funeral assurers to meet claims as they fall due.
- 6.2 The funeral industry recorded an average current ratio of 0.53 times, a slight improvement from the 0.47 times reported for the same period in 2023. This position indicates potential liquidity problems and that the industry is likely to have difficulty meeting short-term obligations.

7 Capitalisation

- 7.1 As at 31 December 2024, four (4) of the six (6) funeral assurers were compliant with the regulatory Minimum Capital Requirement (MCR) of ZWG 25,012.81 as required by Statutory Instrument 59 of 2020.
- 7.2 As at 31 December 2024, all six (6) Funeral Assurers that submitted returns were compliant with the Minimum Capital Requirement (MCR) of ZWG 25,012.81, as prescribed in Statutory Instrument 59 of 2020. However, only

four (4) entities were compliant with the then-proposed US\$ Indexed MCR of US\$500,000.

7.3 Below are the overall reported capital positions for the funeral assurers for the whole year of 2024:

Table 5: Capitalisation Levels as at 31 December 2024.

Entity	S.I. 59 of 2020 ZWG (000)	US\$2024 Indexed (000)	US\$2023 Indexed (000)	US\$ Change
Sunset	8,420.42	326.39	423.57	-23%
Vineyard	7,276.49	282.05	534.35	-47%
Moonlight	497,410.62	19,280.60	29,510.50	-35%
Foundation	42,094.89	1,631.68	1,118.86	46%
Ruvimbo	25,471.15	987.31	0.34	287277%
First Funeral	14,584.70	565.33	2,566.65	-78%
Total	595,258.27	23,073.36	34,154.27	

Key

	Capitalised
	Undercapitalised

7.4 Based on the submitted returns the compliance level with the minimum capital requirement of ZWG 25,012 was 100% for ZWG Minimum Capital Requirement as per S.I. 59 of 2020

7.5 In terms of proposed US\$ indexed capital, four (4) out of the six (6) life assurers that submitted returns were compliant with the prescribed minimum capital requirement of US\$500,000. Sunset Funeral Assurance and Vineyard Funeral Assurance companies were non-compliant with the US\$ indexed MCR for the period ending December 2024.

7.6 The industry recorded a total average capital change of negative 32 % from the prior period.

7.7 Quarterly capital positions of the sector players are shown below:

Table 6: Capital Positions by Quarter

Capital	Q1 - 2024		Q2 - 2024		Q3 - 2024		Q4-2024	
Name of Company	ZWG (000)	USD Equivalent (000)	ZWG (000)	USD Equivalent (000)	ZWG (000)	USD Equivalent (000)	ZWG (000)	USD Equivalent (000)
Sunset	2,973.22	220.24	4,569.43	333.46	8,204.81	336.26	8,420.43	326.39
Foundation Mutual	46,520.65	3,445.97	45,111.54	3,292.07	40,017.70	1,640.07	42,094.89	1,631.68
First Funeral	35,419.17	2,623.64	31,650.64	2,309.74	20,434.32	837.47	14,584.70	565.33
Vineyard	3.77	0.28	(6,553.96)	(478.28)	20,381.71	835.32	7,276.49	282.05
Moonlight	130,636.86	9,676.80	254,242.17	18,553.62	241,042.16	9,878.78	497,410.61	19,280.60
Ruvimbo	25,471.15	1,886.75	25,471.15	1,858.79	25,471.15	1,043.90	25,471.15	987.31
Total	241,024.82	17,853.69	354,490.97	25,869.40	355,551.85	14,571.80	595,258.27	23,073.37

7.8 As shown above, at the end of first quarter 2024, five (5) of the six (6) companies were compliant with this minimum regulatory threshold, with only Vineyard Funeral Assurance failing to meet this threshold. However, upon subjecting these figures to the US\$500,000 proposed USD indexed Minimum Capital Requirements, four (4) were compliant with Sunset and Vineyard failing to meet the proposed threshold.

7.9 For the second quarter ended 30 June 2024, five (5) of the six (6) companies were compliant with this minimum regulatory threshold, while only Vineyard Funeral Assurance failed to meet this threshold. Again, Sunset and Vineyard failed to meet the proposed USD-indexed threshold.

7.10 For the third quarter ended 30 September 2024, all the six (6) companies were compliant with the Minimum Capital Requirements. However, only Sunset failed to meet the USD-indexed threshold.

8 Asset Quality

8.1 Total assets for the sector from quarter to quarter are shown below:

Table 7: Total Assets by Quarter

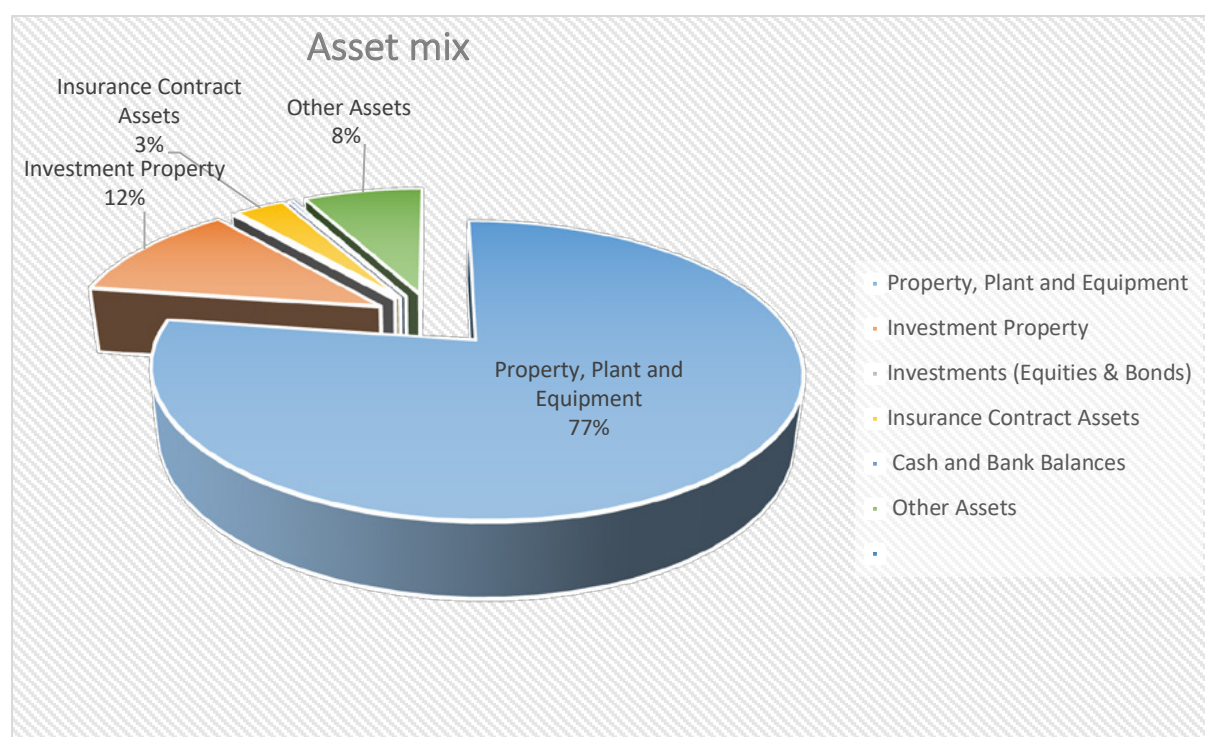
Assets	Q1 - 2024		Q2 - 2024		Q3 - 2024		Q4-2024	
Name of Company	ZWG (000)	USD Equivalent (000)	ZWG (000)	USD Equivalent (000)	ZWG (000)	USD Equivalent (000)	ZWG (000)	USD Equivalent (000)
Sunset	3,236.74	239.76	5,156.75	376.32	9,090.86	372.58	9,461.56	366.75
Foundation Mutual	48,798.58	3,614.71	50,735.70	3,702.50	48,850.07	2,002.05	56,438.21	2,187.65
First Funeral	37,278.95	2,761.40	37,809.14	2,759.17	42,706.75	1,750.28	57,846.36	2,242.24
Vineyard	3.77	0.28	5,400.36	394.10	35,805.98	1,467.46	33,881.45	1,313.31
Moonlight	109,719.09	8,127.34	115,470.67	8,426.61	115,774.45	4,744.85	595,202.01	23,071.19
Ruvimbo	30,930.05	2,291.11	30,930.05	2,257.16	30,930.05	1,267.63	30,930.05	1,198.91
Total	229,967.18	17,034.61	245,502.67	17,915.85	283,158.16	11,604.84	783,759.64	30,380.05

8.2 As shown above, the sector recorded assets amounting to ZWG784 million as at 31st of December 2024, equivalent to US\$30.4 million, which was a 34% decrease from 31 December 2023, which was US\$46 million.

8.3 The asset base for the sector remained highly concentrated in non-current assets, which constituted 89 of the total assets, demonstrating the sector's assets skewed towards funeral service provision, with the remaining 11% in current assets.

8.4 The distribution of assets for the Funeral Assurance sector is shown in Figure 2 below.

Figure 2: Breakdown of Assets as at 31 December 2024



- 8.5 As at 31 December 2024, all Funeral Assurers were non-compliant with the minimum Prescribed Asset ratio of 10%, as stipulated by Statutory Instrument 206 of 2019.
- 8.6 The total investments in prescribed assets by Funeral Assurers amounted to ZWG81,563 against total assets of ZWG784 million, translating to a compliance level of 0%.
- 8.7 As explained above on 6.3, the insurance contracts assets (premiums debtors) formed 60% of the total assets reported by the industry.
- 8.8 Table 8 below shows the compliance levels with Prescribed Assets for each Funeral Assurance player.

Table 8: Prescribed Assets (PA) Levels as at 31 December 2024

Name of Company	Prescribed Assets - ZW\$ 000	Total Assets - ZW\$ 000	Prescribed Asset Ratio
Sunset	-	9,461.56	0.00%
Foundation Mutual	81.56	56,438.21	0.14%
First Funeral	-	57,846.36	0.00%
Vineyard	-	33,881.45	0.00%
Moonlight	-	595,202.01	0.00%
Ruvimbo	-	30,930.05	0.00%
Total/Average	81.56	783,759.64	0.01%

9 Reassurance

- 9.1 None of the six (6) Funeral Assurers had reinsurance arrangements in place during the year ended 31 December 2024.
- 9.2 The sector reported that it was engaging reinsurers to develop reinsurance solutions tailored to the nature of funeral assurance business, in line with the recommendations issued by the Commission.

Insurance Contract Liabilities

- 9.3 Insurance contracts liabilities as at 31 December 2024 amounted to ZWG42 million under current liabilities and ZWG147 million being non-current liabilities, reflecting the short-term and long-term nature of the policies underwritten by the industry.
- 9.4 The total insurance contract liabilities totalled ZWG 189 million (US\$7.3 million), an increase of 48 % from the US\$4.9 million reported for the same period in 2023.

10 Number of policies

10.1 As at 31 December 2024, funeral assurers had 133,728 policies, a 19% increase from 112,229 policies underwritten for the same period 31 December 2023.

11 Market Share

11.1 Quarterly market share in terms of insurance revenue collected is as follows:

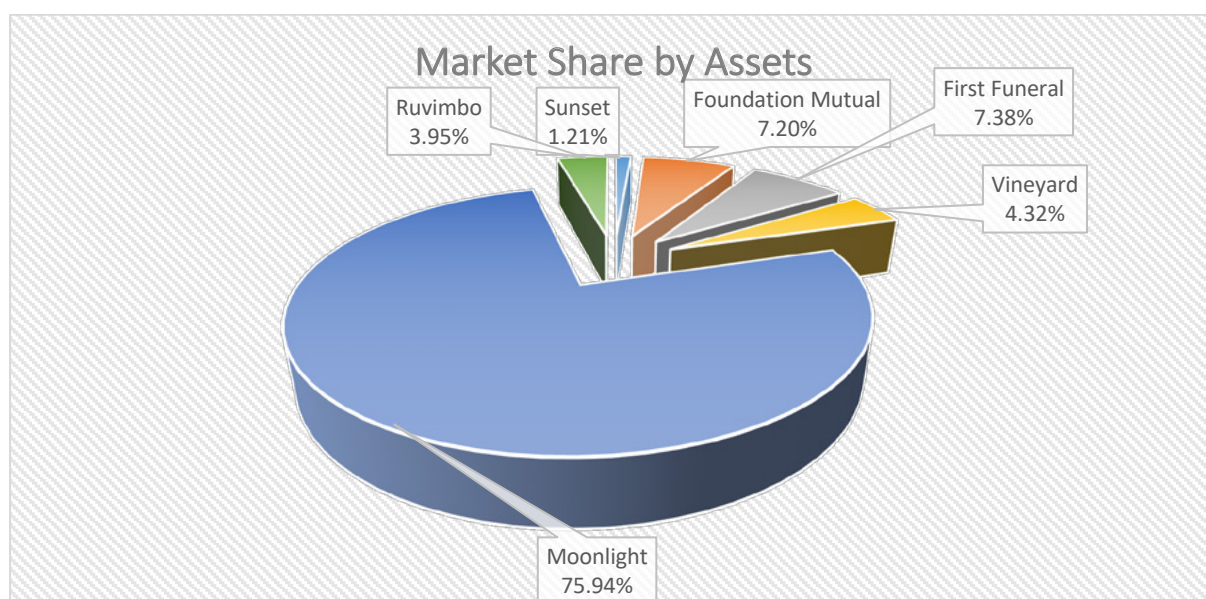
Table 9: Market share by Insurance Revenue

Company	Q1 - 2024	Q2 - 2024	Q3 - 2024	Q4-2024
Sunset	2%	2%	1%	1%
Foundation Mutual	14%	7%	7%	4%
First Funeral	26%	22%	18%	29%
Vineyard	1%	5%	1%	11%
Moonlight	49%	64%	72%	54%
Ruvimbo	9%	1%	1%	1%

11.2 As indicated on the table 9 above, for the period ended 31 December 2024, Moonlight Funeral Assurance dominated the Funeral Assurance sector in terms of consolidated Insurance Revenue, with a total market share of 49% in the first quarter, 64% in the second quarter, 72% in the third quarter and 54% in the fourth quarter.

11.3 In terms of total assets, the Funeral Assurance sector was dominated by one (1) player, Moonlight Funeral Assurance, with a total market share of 75.94% as at 31 December 2024. The remaining five 5 players shared the remaining 24.06%. This is illustrated in Figure 5 below.

Figure 7: Market Share in Terms of Assets as at 31 December 2024





Section E | REGULATORY DEVELOPMENTS

12 Regulatory Developments for the period ended 31 December 2023

12.1 Statutory Instruments and Circulars

The Commission issued 17 Circulars to the Insurance Industry during the period under review, as shown in Table 5 below.

Table 5: Circulars Issued in the Twelve Months Ended 31 December 2024.

Circular	Date of Issue	Purpose
Circular 29 of 2024	19/12/2024	Request for Industry Input into the Investment Guidelines for Short-term Insurers.
Circular 28 of 2024	18/12/2024	Amendment to Circular 12 of 2023 (the funeral directive).
Circular 26 of 2024	12/12/2024	Invitation for Comments on the Draft Market Conduct Framework for the Insurance and Pensions industry.
Circular 25 of 2024	12/12/2024	Invitation for Industry Comments on the Minimum Reinsurance Standards Before they are Adopted.
Circular 22 of 2024	18/12/2024	Request for Industry Financial Statements Preparers to Register with the Public Accountants and Auditors Board (PAAB).
Circular 14 of 2024	5/9/2024	Financial Intelligence Unit Directive on Implementation of Targeted Financial Sanctions.
Circular 13 of 2024	12/7/2024	Financial Intelligence Unit Directive on High-Risk Jurisdictions and Countries under increased Monitoring for Terrorist Financing and Proliferation Financing of Weapons of Mass Destruction.
Circular 11 of 2024	27/6/2024	Amendments to Circular 8 of 2024 – Guidelines on the 2024 Currency Changes.
Circular 9 of 2024	17/6/2024	Request For Information on Debts: Care Insurance Brokers.
Circular 8 of 2024	10/5/2024	Guidelines on the 2024 Currency Changes.
Circular 7 of 2024	25/4/2024	Data Call on All New Products Approved from January 2020 to 31 March 2024.
Circular 6 of 2024	15/4/2024	Policy Paper on Agriculture Index Insurance.
Circular 5 of 2024	6/3/2024	Request for entities to use IFRS 17 and meet the deadline for submission of 2023 audited financial statements.

Circular	Date of Issue	Purpose
Circular 4 of 2024	15/4/2024	Amendments To the Microinsurance Framework
Circular 3 of 2024	5/2/2024	Settlement of Claims.
Circular 2 of 2024	30/1/2024	Actuarial Society of Zimbabwe Guidance Note for Compensation for Loss of Pre-2009 Value of Pension Benefits (SI 162 Of 2023).
Circular 1 of 2024	25/1/2024	Sectoral Risk Assessment to Inform Zimbabwe's Third Money Laundering National Risk Assessment.



Section F

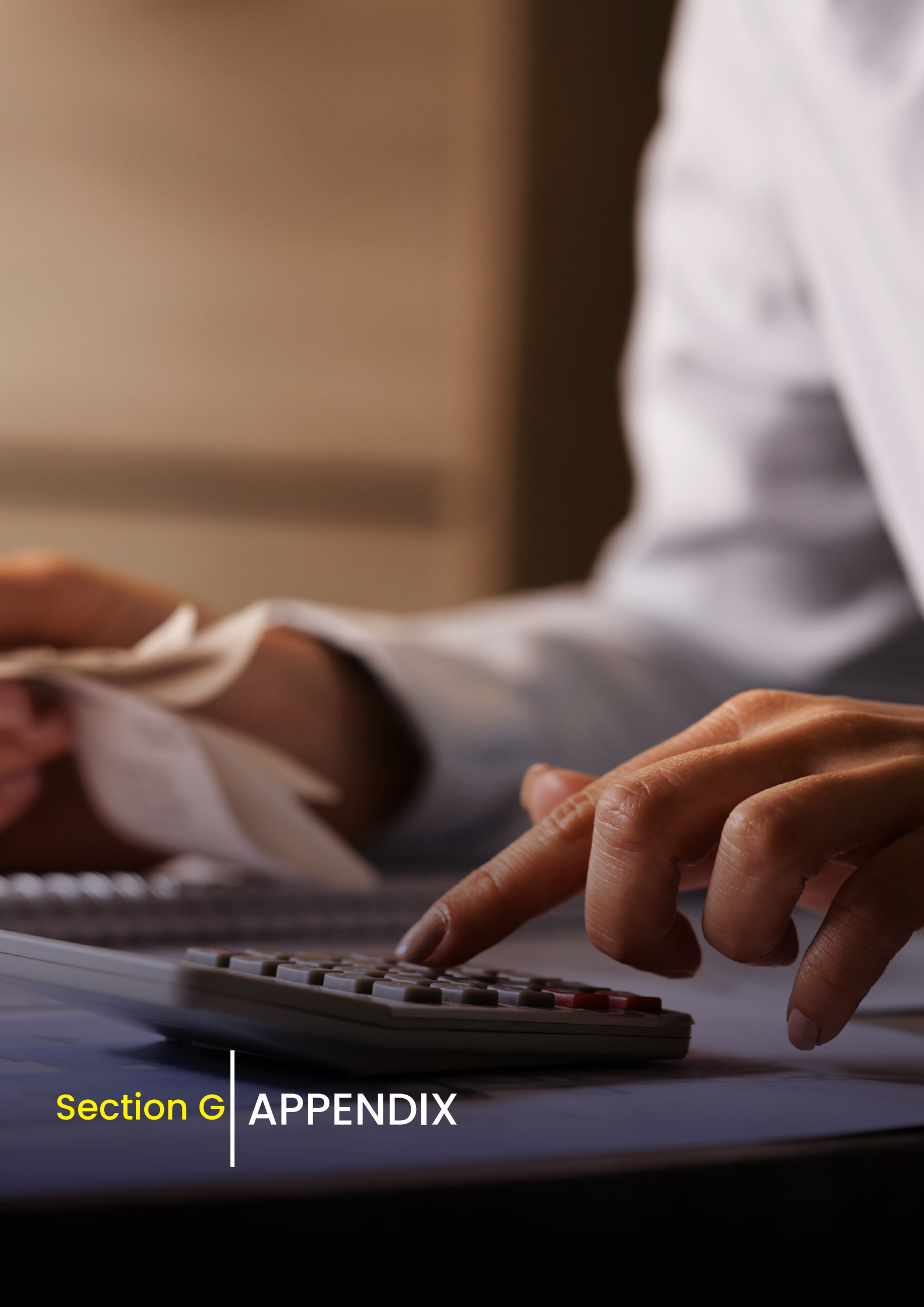
COMPLAINTS HANDLING AND CONCLUSION

13 Funeral Assurance Sector Complaints

- 13.1 For the year ended 31 December 2024, the Commission received seventeen (17) funeral assurance-related complaints. Thirteen (13) of the complaints were resolved within the year, and the remaining four were under consideration.
- 13.2 Five (5) of the complaints were due to repudiation, and twelve (12) were unsatisfactory service provided.

14 Conclusion

- 14.1 The Funeral Assurance sector experienced moderate growth in business volumes and maintained underwriting profitability in 2024. However, the sector continues to face significant challenges, including weak liquidity positions, poor asset quality diversification, low capital adequacy under USD-indexed thresholds, persistent non-compliance with Prescribed Asset requirements, and remaining highly dominated by a single assurer.
- 14.2 The Commission urges all Funeral Assurers to strengthen governance frameworks, improve liquidity management, diversify asset portfolios, and implement robust risk-based business models to enhance resilience and ensure long-term policyholder protection.



Section G | APPENDIX

APPENDIX A1. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE YEAR ENDED 31 DEC 2024 - ZWG 000							
	Sunset	Foundation Mutual	First Funeral	Vineyard	Moonlight	Ruvimbo	Total
Net Written Premium		8,134.10		6,349.82		681.49	15,165.41
Insurance Revenue	1,863.97	8,405.55	61,663.76	22,306.89	113,882.73	1,661.24	209,784.15
Revenue from contracts measured under the PAA	1,863.97	-	-	-	-	-	1,863.97
Revenue from contracts measured under the GMM	-	8,405.55	61,663.76	22,306.89	113,882.73	1,661.24	207,920.18
Expected incurred claims	-	855.35	54,155.95	2,108.81	79,544.49	1,107.67	137,772.27
Change in risk adjustment for non financial risk	-	1,333.39	5,415.59	323.13	4,838.08	65.13	11,975.33
CSM recognised in P&L for the services provided	-	6,216.81	2,092.22	18,745.97	29,488.27	488.44	57,031.71
Insurance acquisition cashflows recovery	-	-	-	1,128.98	11.89	-	1,140.86
Revenue from contracts measured under the VFA	-	-	-	-	-	-	-
Expected incurred claims	-	-	-	-	-	-	-
Change in risk adjustment for non financial risk	-	-	-	-	-	-	-
CSM recognised in P&L for the services provided	-	-	-	-	-	-	-
Insurance acquisition cashflows recovery	-	-	-	-	-	-	-
Insurance service expenses from insurance contracts issued:	(602.79)	(1,203.90)	(93,613.98)	(27,521.07)	(67,203.05)	(1,763.61)	(191,908.41)
Incurred claims	(248.09)	(585.98)	(13,864.65)	(25,257.07)	6,347.02	(139.11)	(33,747.89)
Insurance contract expenses	(354.70)	(317.26)	(20,901.09)	-	(5,310.02)	(1,508.03)	(28,391.11)
Insurance contract acquisition cashflows	-	(299.31)	-	(2,257.96)	(11.89)	-	(2,569.15)
Adjustments to liabilities for incurred claims	-	-	(249.86)	-	-	616.81	366.94
Losses (and reversal of losses) on onerous insurance contracts	-	(1.36)	(58,598.37)	(6.04)	(68,228.17)	(733.27)	(127,567.21)
Insurance service result before reinsurance	1,261.18	7,201.65	(31,950.22)	(5,214.18)	46,679.68	(102.37)	17,875.74
Allocation of reinsurance premiums (net of reinsurance commission)	-	-	-	-	-	-	-
Amounts recoverable from reinsurers for incurred claims	-	-	-	-	-	-	-
Net income / (expense) from reinsurance contracts held	-	-	-	-	-	-	-
Insurance service result	1,261.18	7,201.65	(31,950.22)	(5,214.18)	46,679.68	(102.37)	17,875.74
Interest received	2.98	-	-	0.21	-	-	3.19
Quoted equities - fair value adjustments	-	-	-	-	-	-	-
Unquoted equities - fair value adjustments	-	-	-	-	-	-	-
NAV movements in group companies	-	-	-	-	-	-	-
Dividend income	-	-	-	-	-	-	-
Rental income	75.73	493.22	1,044.00	1,265.18	224.95	-	3,103.08
Net foreign exchange income / (expense)	-	84.25	-	-	-	-	84.25
Property fair value adjustments	-	1,130.97	-	-	-	8,332.65	9,463.62
Other Income	337.33	12,607.82	-	7,236.85	20,085.08	142.45	40,409.52
Total Investment Income	416.04	14,316.25	1,044.00	8,502.24	20,310.03	8,475.10	53,063.66
Insurance finance income (expenses) for insurance contracts issued	-	-	5,625.01	(1,318.09)	(77,490.38)	(3,217.76)	(76,401.22)
Reinsurance finance income (expenses) for reinsurance contracts held	-	-	-	-	-	-	-
Net insurance financial result	-	-	5,625.01	(1,318.09)	(77,490.38)	(3,217.76)	(76,401.22)
Net investment result	416.04	14,316.25	6,669.01	7,184.15	(57,180.36)	5,257.34	(23,337.56)
Administrative Expenses(indirectly linked to insurance service provision)	(1,453.91)	-	6,296.67	-	(104,895.63)	867.50	(99,185.37)
Fair value adjustments (negative)	-	-	-	-	-	-	-
Other Expenses	(430.74)	(9,782.01)	-	-	(1,394.67)	741.38	(10,866.04)
Total for other Expenditure	(1,884.65)	(9,782.01)	6,296.67	-	(106,290.30)	1,608.88	(110,051.42)
Profit (Loss) before tax	(207.44)	11,735.89	(18,984.54)	1,969.97	(116,790.98)	6,763.85	(115,513.24)
Taxation	-	(176.52)	-	-	-	(79.92)	(256.44)
Profit (Loss) after tax	(207.44)	11,559.37	(18,984.54)	1,969.97	(116,790.98)	6,683.93	(115,769.68)
Other Comprehensive Income for the year	-	5,576.89	-	-	-	-	5,576.89
Total Comprehensive Profit/(Loss) Attributable to Shareholders	(207.44)	17,136.25	(18,984.54)	1,969.97	(116,790.98)	6,683.93	(110,192.79)

APPENDIX A2. STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 31 DEC 2024 - ZWG 000							
	Sunset	Foundation Mutual	First Funeral	Vineyard	Moonlight	Ruvimbo	Total
Assets							
Non-Current Assets							
Intangible Assets	-	-	-	-	-	-	-
Property, Plant and Equipment	799.99	46,160.62	9,722.29	12,531.23	519,491.88	17,290.55	605,996.57
Investment Property	8,590.90	8,126.53	44,966.34	773.96	18,200.00	10,320.00	90,977.72
Investments: Quoted equities	-	-	4.82	-	-	-	4.82
Unquoted equities	-	-	-	-	-	-	-
Bonds	-	-	-	-	45.18	-	45.18
Deferred tax asset	-	-	-	-	-	-	-
Deferred acquisition costs Assets (excluding Asset for Insurance Acquisition Cash Flows, but including any DAC previously used to spread acquisition costs)	-	-	-	-	-	-	-
Insurance Contract Assets	-	-	-	-	13,366.79	-	13,366.79
Reinsurance Contract Held Assets	-	-	-	-	-	-	-
Other Non-Current Assets	-	81.56	-	-	-	-	81.56
Total	9,390.90	54,368.71	54,693.45	13,305.19	551,103.85	27,610.55	710,472.63
Current Assets							
Insurance Contract Assets	-	367.97	1,321.12	6,801.95	-	3,029.73	11,520.77
Reinsurance Contract Held Assets	-	-	-	-	-	-	-
Money market investments	-	-	-	-	-	-	-
Other Short Term Investments	-	-	-	-	-	-	-
Other receivables	-	64.28	233.14	13,410.83	41,568.05	260.54	55,536.84
Cash and Bank Balances	70.66	120.06	1,598.66	153.40	548.47	12.50	2,503.75
Other Current Assets	-	1,517.19	-	210.08	1,981.65	16.73	3,725.64
Total	70.66	2,069.50	3,152.92	20,576.26	44,098.17	3,319.50	73,287.01
Total Assets	9,461.56	56,438.21	57,846.36	33,881.45	595,202.01	30,930.05	783,759.64

Liabilities and Equity							
Current Liabilities							
Insurance Contract Liabilities:	416.45	-	41,684.69	-	-	-	42,101.14
Best Estimate Liability (BEL)	416.45	-	36,485.17	-	-	-	36,901.63
Risk Adjustment (RA)	-	-	3,648.52	-	-	-	3,648.52
Contractual Service Margin (CSM)	-	-	1,551.00	-	-	-	1,551.00
Reinsurance Contract Held Liabilities:	-	-	-	-	-	-	-
Best Estimate Liability (BEL)	-	-	-	-	-	-	-
Risk Adjustment (RA)	-	-	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-	-	-
Related party payables	624.68	-	-	-	-	-	624.68
Current provisions	-	-	-	-	9,808.71	5,337.91	15,146.62
Finance lease obligations	-	-	311.90	-	-	-	311.90
Bank Overdrafts	-	-	-	-	-	-	-
Payables Arising from Retrocession Arrangements	-	-	-	-	-	-	-
Other payables	-	3,712.54	1,265.08	9,602.11	64,919.18	88.30	79,587.20
Total Current Liabilities	1,041.13	3,712.54	43,261.66	9,602.11	74,727.88	5,426.21	137,771.53
Non-current liabilities							
Insurance Contract Liabilities:	-	-	-	13,741.53	(162,785.38)	-	(149,043.85)
Best Estimate Liability (BEL)	-	-	-	-	(565,753.76)	-	(565,753.76)
Risk Adjustment (RA)	-	-	-	-	60,011.93	-	60,011.93
Contractual Service Margin (CSM)	-	-	-	13,741.53	342,956.45	-	356,697.98
Reinsurance Contract Held Liabilities:	-	-	-	-	-	-	-
Best Estimate Liability (BEL)	-	-	-	-	-	-	-
Risk Adjustment (RA)	-	-	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-	-	-
Long Term Loans	-	-	-	-	-	9.00	9.00
Provision for investment contract liabilities	-	-	-	-	-	23.69	23.69
Deferred Tax liability	-	-	-	3,261.32	120,929.72	-	124,191.03
Other Liabilities	-	10,630.79	-	-	64,919.18	-	75,549.96
Total Non - Current Liabilities	-	10,630.79	-	17,002.85	23,063.51	32.69	50,729.84
Total Liabilities	1,041.13	14,343.32	43,261.66	26,604.96	97,791.40	5,458.90	188,501.37
Share Capital and Reserves							
Share Capital	-	-	0.17	2.58	1,500.07	0.37	1,503.19
Share Premium	-	-	0.64	-	-	-	0.64
Insurance finance reserve	-	(25,608.66)	-	(23,517.92)	-	9,840.95	(39,285.63)
Investment Reserve	-	-	-	-	-	-	-
Revaluation Reserve	8,814.14	50,567.30	35,760.84	(7,828.00)	484,853.49	17,227.88	589,395.65
Non Distributable Reserve	-	-	-	-	-	50.68	50.68
Retained Earnings Prior Years	(186.28)	-	(2,192.42)	-	77,041.85	-	74,663.15
Retained Earnings - Current Period	(207.44)	17,136.25	(18,984.54)	1,969.97	(116,790.98)	(1,648.72)	(118,525.44)
Minority Interest	-	-	-	-	-	-	-
Other	-	-	-	36,649.86	50,806.18	-	87,456.04
Shareholders' Equity	8,420.42	42,094.89	14,584.70	7,276.49	497,410.62	25,471.15	595,258.27
Total Equity and Liabilities	9,461.56	56,438.21	57,846.36	33,881.45	595,202.01	30,930.05	783,759.64

Appendix A3							
	Sunset	Foundation Mutual	First Funeral	Vineyard	Moonlight	Ruvimbo	Total
Insurance Revenue by Product - ZWG 000							
Term insurance	-	-	-	-	-	-	-
Endowment	-	-	-	-	-	-	-
Pure endowment	-	-	-	-	-	-	-
Whole life	-	-	-	-	-	-	-
Funeral	1,863.97	8,405.55	61,663.76	22,306.89	113,882.73	1,661.24	209,784.15
GLA	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	1,863.97	8,405.55	61,663.76	22,306.89	113,882.73	1,661.24	209,784.15

Appendix A4							
Insurance Revenue by Class - ZWG Million							
Individual Life Business	Sunset	Foundation Mutual	First Funeral	Vineyard	Moonlight	Ruvimbo	Total
New Business	-	2,180.90	6.60	283.54	30,985.26	99.55	33,555.85
Recurring Business	1,682.89	6,224.65	20,342.44	1,054.87	82,897.47	1,561.70	113,764.02
Sub Total	1,682.89	8,405.55	20,349.04	1,338.41	113,882.73	1,661.24	147,319.87
Group Business							
New Business	-	-	1.56	1,896.09	-	-	1,897.65
Recurring Business	181.08	-	41,313.16	19,072.39	-	-	60,566.63
Sub Total	181.08	-	41,314.72	20,968.48	-	-	62,464.28
Total	1,863.97	8,405.55	61,663.76	22,306.89	113,882.73	1,661.24	209,784.15



FUNERAL ASSURANCE SECTOR REPORT

FOR THE QUARTER ENDED 31 DECEMBER 2024

Protecting The Interests Of Insurance And Pension Consumers



HEAD OFFICE – 160 Rhodesville Ave, Greendale, Harare
HARARE COMPLAINTS HANDLING OFFICE – Kingstons House, Cnr
Leopold
Takawira/Kwame Nkrumah Avenue, Harare

BULAWAYO COMPLAINTS HANDLING OFFICE – Office No 18,
Bulawayo Centre,
Cnr Joshua Nkomo Street & 9th Ave, Bulawayo

Tel: +263 (242)443358/59/69 +263 772 154 281-4
+263 (242)443322 +263(242)444333

Protecting the interests of Insurance
and Pension Consumers.

www.ipec.co.zw